

ably remains in force. Despite all attempts at advance, the index today remains below its 1980 high by 30%, proving that the degree of the turn was properly recognized back in early 1981. The low so far, which occurred in July 1986, is 196.87, very close to the target of 175-185 given thirteen years ago.

ANALYSIS

The CRB Index may have completed its bear market (along with gold) at the 1986 low, ending a simple A-B-C decline from the high. If so, then our true bugaboo is inflation, not deflation, and the analyses of monetary forces in Chapter 14 and gold in Chapter 17 will have to be scrapped. There is, however, substantial reason to believe that the bear market in commodities is not yet over.

Figure 18-5 shows what I consider to be the best interpretation of the CRB Futures Index: an A-B-C bear market in progress, with wave A ending in 1982 and wave B a nearly completed triangle, subdividing (A)-(B)-(C)-(D)-(E). This interpretation is *very* speculative, even by Elliott Wave standards, as a running descending triangle (see *Elliott Wave Principle* for a description) is hardly the most common formation in markets. Nevertheless, this explanation best takes into account the waves that have developed from the 1980 peak and has the added virtue of agreeing almost precisely with the interpretation for gold shown in Figure 17-5.

OUTLOOK

The odds heavily favor several years of substantial decline in raw materials in the late 1990s and early 2000s. The labeling in Figure 18-5 implies a few more months of rise in the CRB index, which should nevertheless peak below the 1988 high at 270.52. If the rally from the 1986 low is a flat wave X, as implied by the line labeled "Alt.," the rally could go a bit higher, but would nevertheless end below the 1980 high at 337.60. Then wave C, a counterpart to the 1980-1982 decline, should carry the index to a new low for the decade. If the support area of 175-185 is broken, the CRB index could fall all the way back to its levels of the late 1960s, i.e., the 95-113 range, in the same relentless manner as did its predecessor markets of 1837-1843 and 1929-1933. The odds of this occurrence appear very high, as revealed by the next discussion.